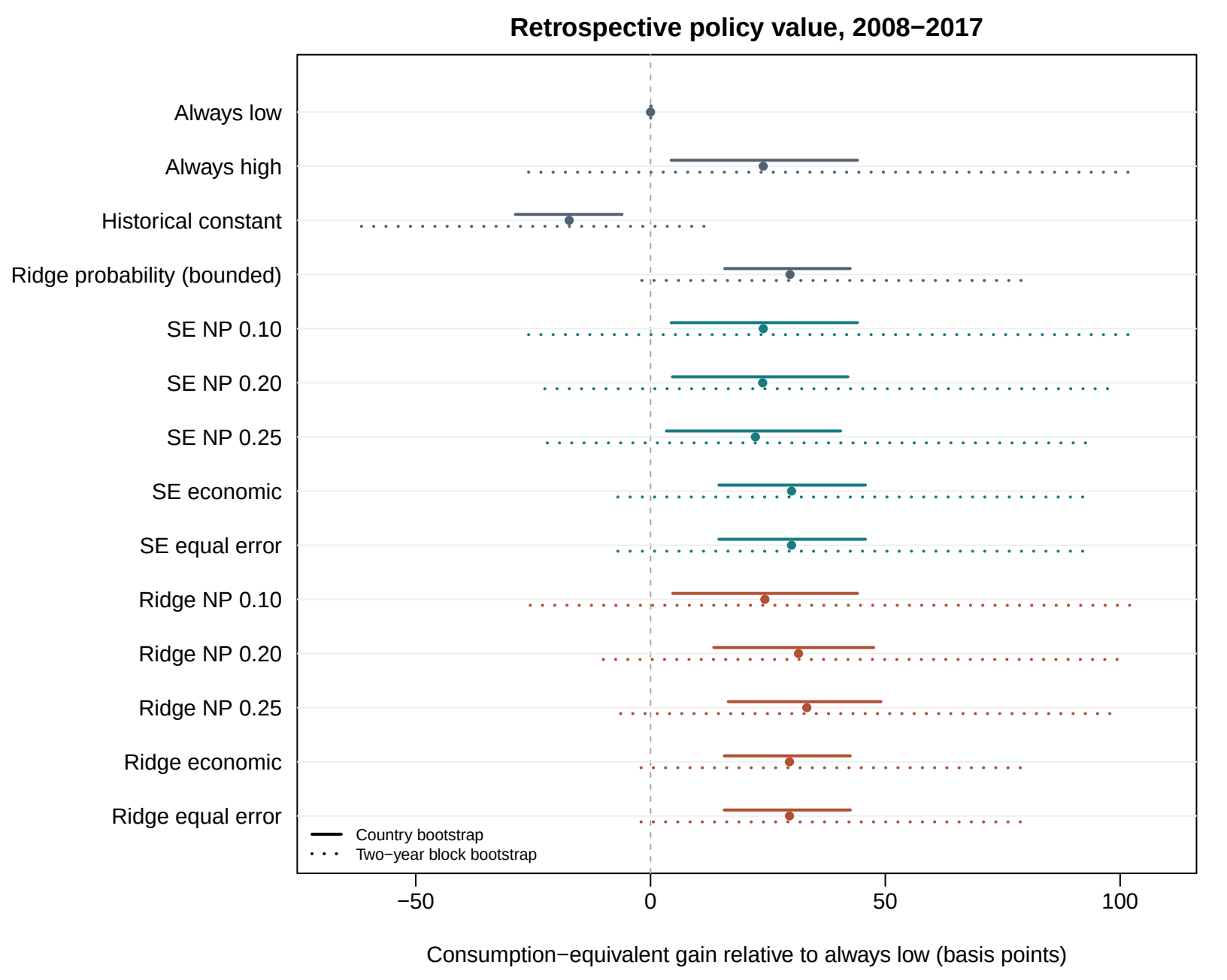
Retrospective policy value, 2008−2017
Always low
Always high
Historical constant
Ridge probability (bounded)
SE NP 0.10
SE NP 0.20
SE NP 0.25
SE economic
SE equal error
Ridge NP 0.10
Ridge NP 0.20
Ridge NP 0.25
Ridge economic
Ridge equal error
Country bootstrap
Two−year block bootstrap
−50
0
50
100
Consumption−equivalent gain relative to always low (basis points)